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[Hide](#)**Question 2**

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Flag question

Which of the following events would generally be classified as non-operating on an enterprise fund's statement of revenues, expenses, and changes in net assets?

- ☐ a. Depreciation expense.
- ☒ b. Administrative expense
- ☐ c. Customer account expenses.
- ☐ d. Loss on the sale of a piece of equipment.

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Question 1

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Flag question

In which of the following engagements an auditor provides a limited level of assurance that the information subject to review is free of material misstatement?

- ☐ a. Agreed up on procedure.
- ☐ b. External audit.
- ☐ c. Compilation.
- ☒ d. Review.

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Question 3

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Which one of the following costs is classified as a period cost for a manufacturer?

- ☒ a. Tax accountant salary.
- ☐ b. Depreciation on Factory building.
- ☐ c. Depreciation on factory equipment.
- ☐ d. Factory insurance.

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Question 5

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Hanna business began the year with total assets of Birr 120,000 and owner's equity of Birr 40,000. During the year the business earned Birr 90,000 in net income and paid Birr 20,000 in withdrawals. Total assets at the end of the year were Birr 215,000. Owner's equity at the end of the year was:

- ☐ a. Birr 130,000
- ☐ b. Birr 150,000
- ☐ c. Birr 135,000
- ☒ d. Birr 110,000

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Question 4

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When a company has a foreign subsidiary, which of the following exchange rates is typically used to translate the subsidiary's financial statements into the reporting currency?

- ☐ a. Forward exchange rate
- ☐ b. Historical exchange rate
- ☒ c. Spot exchange rate
- ☐ d. Average exchange rate

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Question 6

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Flag question

Which of the following statement explains the transaction-Related Audit Objectives of accuracy for sales transaction?

- ☒ a. Recorded sales are for the amount of goods shipped and are correctly billed and recorded.
- ☐ b. Sales are recorded on the correct dates.
- ☐ c. Existing sales transactions are recorded.
- ☐ d. Recorded sales are for shipments actually made to no fictitious customers.

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Accounting and Finance

[Back](#)**Question 7**

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In which one of the methods for arranging business combinations a new corporation is formed to issue its common stock for the outstanding common stock of two or more existing corporations?

- ☐ a. Acquisition of assets
- ☒ b. Statutory consolidation
- ☐ c. Acquisition of common stock
- ☐ d. Statutory merger

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Question 8

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Liquidity Preference Theory stated that:

- ☐ a. More liquid assets offer higher potential returns
- ☒ b. Investors prioritize liquidity over higher returns
- ☐ c. There is no relationship between liquidity and return
- ☐ d. Less liquid assets are generally more liquid

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Question 9

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Flag question

A current asset financing policy under which the working capital is primarily financed by long term sources.

- ☒ a. Conservative policy
- ☐ b. Matching policy
- ☐ c. Aggressive policy
- ☐ d. Hedging policy

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Question 10

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In Audit Sampling for Test of Control and Substantive Test of Transactions, Selecting the sample is performed in:

- ☐ a. Select the Sample and Perform the Audit Procedures step
- ☐ b. Evaluate the Results step
- ☒ c. Plan the Sample step
- ☐ d. Analyze exceptions step

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Question 11

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Flag question

According to the IASB's conceptual framework, which of the following enhances the comparability of financial information?

- ☐ a. Materiality
- ☒ b. Consistency
- ☐ c. Timeliness
- ☐ d. Relevance

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Question 13

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Which of the following is true about unsystematic risk?

- ☒ a. can be effectively eliminated by portfolio diversification
- ☐ b. is measured by beta
- ☐ c. is compensated for by the risk premium
- ☐ d. is measured by standard deviation

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Question 12

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Flag question

Which one of the following audit procedure is defined as the process of obtaining a representation of information or of an existing condition directly from a third party?

- ☐ a. Analytical procedure
- ☐ b. inquiry
- ☐ c. Inspection of document.
- ☒ d. Confirmation.

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Question 14

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Flag question

Which one of the following is responsible for auditing taxpayers' returns to determine whether they have complied with the tax laws?

- ☒ a. Internal revenue agents.
- ☐ b. Internal auditor.
- ☐ c. External auditor.
- ☐ d. Chartered certified Accountant.

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Question 15

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Flag question

Company B, based in Europe, exports goods to a customer in the United States and invoices \$50,000. If the exchange rate is 1 EUR = 1.3 USD, what is the EUR equivalent of the revenue?

- ☐ a. €65,000
- ☐ b. €50,000
- ☐ c. €62,500
- ☒ d. €38,461.54

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Question 17

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Flag question

Company S acquires 80% of the outstanding shares of company T for Birr 800,000. On the date of acquisition, company T's identifiable net assets have a fair value of Birr 700,000. What is the goodwill reported in the consolidated balance sheet on the date of acquisition?

- ☐ a. Birr 150,000.
- ☐ b. Birr 50,000
- ☐ c. Birr 160,000
- ☒ d. Birr 240,000

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Exam Center:	Dire Dawa University	Enrollment Type:	
Department:	Accounting and Finance	Gender:	Ma

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Question 16

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What is the main function of a stock market:

- ☐ a. managing government debt issuance
- ☐ b. providing loans to businesses
- ☒ c. simplifying companies to raise capital by selling shares
- ☐ d. facilitating trade between countries

Clear my choice



Accounting and Finance

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Question 18

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Flag question

How is goodwill calculated in the consolidated financial statements on the date of acquisition?

- ☒ a. It is calculated as the excess of the consideration transferred over fair value of the subsidiary's identifiable net assets.
- ☐ b. It is calculated as the excess of the subsidiary's net income over the parent's net income.
- ☐ c. It is calculated as the difference between the subsidiary's book value and the fair value of its net assets.
- ☐ d. It is calculated as the difference between the parent's book value and the fair value of its investment in the subsidiary.

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[Back](#)**Question 19**

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Compared to the plant wide rate method, activity-based costing usually shifts costs from

- ☐ a. Low-volume to high-volume products.
- ☐ b. Complex to simple products.
- ☐ c. Customized to standardized products.
- ☒ d. High-volume to low-volume products.

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[Back](#)**Question 20**

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Which one of the following is a Money market security?

- ☒ a. Treasury bill
☐ b. Common Stock
☐ c. debenture
☐ d. bond

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Question 21

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Flag question

Which one of the following is not source of revenue assigned to federal government in Ethiopia?

- ☐ a. Taxes collected from national lotteries and other games of chance
- ☒ b. Profit and sales taxes collected from individual traders operating within state/regional government territories
- ☐ c. Taxes collected from income generated through air, rail, and sea transport services
- ☐ d. Income tax collected from employees of the Federal Government and international organizations

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Question 22

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Flag question

On January 1, 2015, Jigsaw Corporation issued Br. 600,000 of 7% bonds, due in 10 years. The bonds were issued for Br. 559,224, and pay interest each July 1 and January 1. The journal entry to record July 1 interest payment is:

- ☒ a. Interest Expense debited by Br. 42,000 and credited to cash by Br. 42,000
- ☐ b. Interest Expense debited by Br. 21,000 and credited to cash by Br. 21,000
- ☐ c. Bond payable debited by Br. 33,000 and credited to interest expense by Br. 33,000
- ☐ d. Bond payable debited by Br. 63,000 and credited to interest expense by Br. 63,000

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Question 23

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Flag question

A security pays \$150 per year in perpetuity. What is its present value today, given that the required rate of return is 4.75 percent?

- ☐ a. \$318.23
- ☐ b. \$3,185.74
- ☐ c. \$316.78
- ☒ d. \$3,157.89

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Question 24

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Flag question

The conflict of interest between stockholders and management is known as:

- ☐ a. Interest conflict
- ☐ b. Agency cost
- ☒ c. Agency problem
- ☐ d. Management conflict

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Question 25

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Flag question

For the year, Addis Company has cost of goods manufactured of Birr 800,000, beginning finished goods inventory of Birr 150,000, and ending finished goods inventory of Birr 200,000. The cost of goods sold is:

- ☐ a. Birr 1,150,000.
- ☐ b. Birr 450,000.
- ☐ c. Birr 850,000.
- ☒ d. Birr 750,000.

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Question 26

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Flag question

Which of the following statement demonstrates the transaction-Related Audit Objectives of completeness for Acquisitions of good and service transaction?

- ☒ a. Existing acquisition transactions are recorded
- ☐ b. Recorded acquisitions are for goods and services received, consistent with the best interests of the client
- ☐ c. Recorded acquisition transactions are accurate
- ☐ d. Acquisition transactions are correctly classified

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Question 27

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- ABC Co. paid \$260,000 cash for a tract of land on which it planned to erect a new warehouse, and paid \$ 30,000 in legal fees related to the purchase. ABC also agreed to assume responsibility for \$ 20,000 of unpaid taxes on the property. The co. incurred a cost of \$9,000 to remove an old apartment building from the land. Determine the cost of the land.
- ☒ a. \$319,000
 - ☐ b. \$290,000
 - ☐ c. \$299,000
 - ☐ d. \$310,000

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Question 28

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Flag question

When a partnership interest is purchased

- ☒ a. the transaction is a personal transaction between the purchaser and the selling partner(s)
- ☐ b. every partner's capital account is affected
- ☐ c. all partners will receive some part of the purchase price
- ☐ d. buyer receives equity equal to the amount of cash paid

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Question 29

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A segment of Tora Inc. has the following data: Sales, Birr 500,000; Variable costs Birr 340,000; Fixed costs Birr 200,000. If this segment is eliminated, 50% of the fixed costs will be eliminated, and the rest will be allocated to the remaining segments. What should Tora do?

- ☐ a. Keep the segment; net loss will be Birr 60,000 lesser.
- ☒ b. Eliminate the segment; net loss will be Birr 60,000 lesser.
- ☐ c. Keep the segment; net loss will be Birr 100,000 lesser.
- ☐ d. Eliminate the segment; net loss will be Birr 100,000 lesser.

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Question 30

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Assume XYZ Company has 20,000 shares of 1% cumulative preferred stock of \$100 par and 100,000 shares of \$50 par common stock. The following amounts were distributed as dividends:

Year 1	\$10,000
Year 2	\$45,000
Year 3	\$80,000

Required: Determine the total amount dividend paid to preferred stockholders in year 2.

- ☐ a. \$15,000
- ☒ b. \$30,000
- ☐ c. \$20,000
- ☐ d. \$10,000

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Question 32

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The current ratio is

- ☐ a. calculated by dividing current liabilities by current assets
- ☐ b. used to evaluate a company's solvency and long-term debt paying ability
- ☒ c. used to evaluate a company's liquidity and short-term debt paying ability
- ☐ d. Calculated by subtracting current liabilities from current assets

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Question 31

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Which of the following statement states the importance independent audit to readers of financial statements?

- ☒ a. measures and communicates financial and business data included in financial statements
- ☐ b. Reports on the accuracy of all information in the financial statements.
- ☐ c. Shows stewardship of the company's management whose financial statements are audited.
- ☐ d. Involves the objective examination of and reporting on management-prepared statements.

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Question 33

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Which of the following documents and records is applied for cash disbursements class of transaction in the acquisition and payment cycle?

- ☐ a. Accounts payable master file
- ☐ b. Accounts payable trial balance
- ☒ c. Check or electronic payment
- ☐ d. Acquisitions journal

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Question 34

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Which of the following statement best describes the method used in indirect method to prepare statement of cash flow?

- ☒ a. It starts with net income and converts it to net cash flow.
- ☐ b. It is the presentation of a condensed cash receipts and cash disbursements statement.
- ☐ c. It starts with net cash flow and converts it to net income.
- ☐ d. It deducts operating cash disbursements from operating cash receipts.

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Question 35

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Flag question

What does the term "debit" indicate in accounting?

- ☐ a. Increase in liabilities
- ☐ b. Increase in owner's equity
- ☒ c. Increase in assets
- ☐ d. Decrease in expenses

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Question 36

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Flag question

On January 01, Dololo Company sold Birr 50,000 of goods on credit (terms 3/8, n/60) to XYZ Company and sales return and allowance Birr 13,500 of defective goods on January 03 by XYZ Company. Dololo company's accounts receivable balance on January 12 before collection is:

- ☐ a. Birr 37,500.
- ☒ b. Birr 36,500.
- ☐ c. Birr 37,000.
- ☐ d. Birr 50,000.

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Accounting and Finance

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Question 37

Answer saved

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Flag question

Which of the following is considered as a general long-term liability except:

- ☒ a. Issuance of government treasury bills.
- ☐ b. Pensions and other post-employment benefit.
- ☐ c. Claims and judgments.
- ☐ d. Issuance of bonds and notes.

Clear my choice

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Question 38

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Flag question

Using the following information.

Direct materials standard cost: 5 kg. $\times$ Birr 2 per kg. = Birr 10.

Total direct materials variance: Birr 15,000 unfavorable.

Actual direct materials used: 300,000 kg.

Actual units produced: 60,000 units

Compute the total actual cost of direct materials used:

- ☐ a. Birr 600,000.
- ☒ b. Birr 615,000.
- ☐ c. Birr 300,000.
- ☐ d. Birr 585,000.

Clear my choice

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Question 39
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Flag question

Which of the following describes costs that change proportionately with volume?

- ☐ a. Fixed costs
- ☐ b. Step wise costs
- ☐ c. Mixed costs
- ☒ d. Variable costs

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Question 40

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Flag question

In a Company which uses job order costing when a job is completed, which entry is made to show the completion of the job?

- ☐ a. Debit to Accounts Receivable and credit to Sales.
- ☐ b. Debit to Finished Goods Inventory and credit to raw material inventory.
- ☐ c. Debit to Cost of Goods Sold and credit to Finished Goods Inventory.
- ☒ d. Debit to Finished Goods Inventory and credit to Work in Process Inventory.

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Question 41

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Flag question

When preparing consolidated financial statements on the date of acquisition, how are the assets and liabilities of the acquired company typically recognized?

- ☐ a. At book value
- ☐ b. At historical cost
- ☐ c. At zero value
- ☒ d. At fair value on the acquisition date

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Question 42

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Flag question

Which of the following journal entry applied to record the payment of salaries to employees of sales agency?

- ☐ a. Agency working capital/Agency imprest fund debited and credited to salary expense sales-agency
- ☐ b. Salary expense sales-agency debited and credited to cash
- ☒ c. Salary expense-sales agency debited and credited to Agency working capital/Agency imprest fund
- ☐ d. Agency working capital/Agency imprest fund debited and credited to cost of goods sold

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Question 43

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Flag question

Financial regulation demonstrates:

- ☐ a. Financial regulation makes the market to promote confidence in the company's internal inefficiency and fairness of their activities.
 - ☐ b. Financial regulation gives room for more monopolies.
 - ☐ c. Financial regulations on depositors as well as financial institutions especially banks make them protected from their own financial failure.
 - ☒ d. Financial regulation may be applied to facilitate the general operation of markets, to enhance safety or to pursue social objectives.
- Clear my choice

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Question 44

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Flag question

Which of the following definition is applied for directed sample selection in audit sampling?

- ☐ a. A sample in which every possible combination of elements in the population has an equal chance of constituting the sample.
- ☒ b. A non-probability method of sample selection in which each item in the sample is selected based on some judgmental criteria established by the auditor.
- ☐ c. A probabilistic method of sampling in which the auditor calculates an interval and selects the items for the sample based on the size of the interval.
- ☐ d. A non-probabilistic method of sample selection in which items are chosen without regard to their size, source, or other distinguishing characteristics.

Clear my choice

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Question 45

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Flag question

Income Taxes Currently Payable is:

- ☐ a. Deferred income tax liability
- ☐ b. Income Taxes Currently Payable.
- ☐ c. Income tax Expense or Benefit.
- ☒ d. Current tax expense

Clear my choice

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Question 46

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Flag question

Which one of the following wrong about taxation?

- ☐ a. Taxes are compulsory payments to the government
- ☐ b. Tax imposes duty of payment on person who is liable to it
- ☐ c. Tax receipts are commonly used for the production of public goods
- ☒ d. Taxation has insignificant effect on consumption and employment pattern

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Question 47

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Flag question

Which standard of IFRS is used for treatment of the Agricultural produce growing on the bearer plant asset?

- ☒ a. IFRS 16
- ☐ b. IAS 41
- ☐ c. IAS 16
- ☐ d. IFRS 15

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Question 48

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Flag question

All of the followings are categories of income exempted from employment income tax, except:

- ☒ a. Employee's Basic salary
- ☐ b. Pension, provident fund and all other retirement benefit (up to 15% of the monthly salary of employee)
- ☐ c. Gratuity in relation to the death of another person
- ☐ d. Casual employees (who do not work under the same employer for more than one month in a year)

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[Hide](#)**Question 49**

Answer saved

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[Flag question](#)

Which of the following statement is/are not true about public and private finance?

- ☐ a. The government has a right to print currency which is legal, whereas private individual does not enjoy such a right.
- ☐ b. Private cannot use coercive methods to raise his income, whereas government can use forceful methods to collect revenue.
- ☒ c. Government cannot use coercive methods to raise his income, whereas an individual can use forceful methods to collect revenue.
- ☐ d. The pattern of expenditure of an individual is governed by habits, customs, status, personal needs, whereas the pattern of public expenditure is governed and controlled by deliberate economic policy of the government.

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Question 60

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Flag question

Miami Solar budgets production of 5,000 solar panels in July. Each unit requires 4 hours of direct labor at a rate of \$16 per hour. Prepare a direct labor budget for July.

- ☐ a. Birr 80,000.
- ☐ b. Birr 300,000.
- ☐ c. Birr 250,000.
- ☒ d. Birr 320,000.

Clear my choice

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Question 59

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Flag question

In exchanges of assets in which the exchange has commercial substance:

- ☐ a. Gains, but not losses, are recognized immediately.
- ☐ b. Neither gains nor losses are recognized immediately.
- ☒ c. Both gains and losses are recognized immediately.
- ☐ d. Losses, but not gains, are recognized immediately.

Clear my choice

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Question 58

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Flag question

Electronics Galore has 950,000 shares of common stock outstanding at a market price of \$11 a share. The company also has market value of \$4,200,000 outstanding bonds. What weight should be given to the debt when the firm computes its weighted average cost of capital?

- ☐ a. 28.66 percent
- ☐ b. 27.47 percent
- ☐ c. 32 percent
- ☒ d. 40.22 percent

Clear my choice

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Question 57

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Flag question

When evaluating mutually exclusive projects, it's best to choose the one with the:

- ☐ a. Highest payback period
- ☒ b. Highest NPV or IRR
- ☐ c. lowest initial investment
- ☐ d. Shortest project duration

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Question 56

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Flag question

The capital market facilitates the trading of:

- ☒ a. Long-term financial securities
- ☐ b. Government issued currency
- ☐ c. Short-term debt instrument
- ☐ d. Everyday goods and services

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Question 55

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Flag question

Which of the following is the opportunity of the security market development in Ethiopia?

- ☐ a. The public awareness about securities markets is too high
- ☐ b. Considerable unexploited resources
- ☐ c. The development of private sector is low
- ☒ d. Good public confidence in share investment

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Question 54

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Flag question

The legal agreement that specifies the terms and provisions of the business combination is termed as:

- ☐ a. Acquiring company
- ☐ b. Target agreement
- ☐ c. Hostile agreement
- ☒ d. Merger agreement

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Accounting and Finance

[Back](#)**Question 53**

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Which of the following characteristics of dividend payable is different from other current liabilities?

- ☐ a. It is a result of advance service receipt.
- ☒ b. It is a result of board of directors' authorization.
- ☐ c. It is a result of advance cash receipt.
- ☐ d. It is a result of long term liabilities.

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[Hide](#)**Question 52**

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Resources that are held in trust for the benefit of the government's own programs or its citizenry should be accounted for using which of the following?

- ☒ a. Fiduciary fund.
- ☐ b. Enterprise fund.
- ☐ c. Proprietary fund.
- ☐ d. Governmental fund.

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Question 51

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The date of the Auditor's opinion on the financial statements of the client should be the date of the

- ☐ a. Submission of the report to the client.
- ☐ b. Finalization of the terms of the audit engagement.
- ☒ c. Completion of all important audit procedures.
- ☐ d. Closing of the client's books.

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Question 50
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What is the main purpose of the Miller and Orr model?

- ☒ a. To predict the likelihood of bankruptcy
- ☐ b. To determine the optimal time to invest in a project
- ☐ c. To identify the optimal level for cash balances with uncertainty
- ☐ d. To determine a firm's optimum cash balance with certainty

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Accounting and Finance

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Question 74

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Flag question

Which of the following describes a type of budget is based on more than one amount of sales or other activity measure?

- ☐ a. Fixed budget
- ☐ b. Financial budget
- ☒ c. Flexible budget
- ☐ d. Static budget

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Question 73

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Ethiopian Civil Service University pays the salary of its employees according to the Ethiopian Calendar month. The forth coming data relates to the month of Sene 2016. Getent Mamo are the permanent employee of the organization.

s/no	Name	Basic salary	Allowance
045	Mr. Getent Mamo	9,200 birr	1,250 birr- Transportation 1,500- House

Determine the amount **employment income tax to be deducted** from Mr. Getent earning based on the above given information and newly amended employment income tax proclamation in 2016.

- ☐ a. 2180 birr
- ☒ b. 2,255 birr
- ☐ c. 2680 birr
- ☐ d. 2,105 birr

Clear my choice

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Question 72

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When should a receivable be recognized in the financial statements?

- ☐ a. When the payment terms of the receivable expire
- ☐ b. When cash is received from the customer
- ☐ c. When the invoice is issued to the customer
- ☒ d. When the goods or services are delivered to the customer

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Question 71

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Flag question

Which of the following is a disadvantage of the corporate form of organization?

- ☐ a. Ability to raise capital
- ☐ b. Continuous life
- ☐ c. Limited liability
- ☒ d. Owner is separate from management

Clear my choice

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Question 70

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Flag question

Unrealized Gains or Losses of the debt investment held for collection and selling is reported on:

- ☒ A. Other comprehensive income and as a separate component of equity
- ☐ B. Recognized in net income
- ☐ C. Not recognized
- ☐ D. On profit or loss statement and as a separate component of equity

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Question 69

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Flag question

The units of an item available for sale during the year were as follows:

Jan. 1	Inventory	6 units at \$50	\$ 300
Mar. 20	Purchase	14 units at \$55	\$770
Oct. 30	Purchase	20 units at \$62	\$1,240
Available for sale	40 units		\$2,310

There are 16 units of the item in the physical inventory at December 31. The periodic inventory system is used. Determine the inventory cost using the first-in, first-out (FIFO) method

- ☐ a. \$1,240
- ☒ b. \$992
- ☐ c. \$1,070
- ☐ d. \$850

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Question 68

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Flag question

Intangibles may arise from the following sources, except:

- ☐ a. Acquisition of another business, in which the purchase price includes a payment for goodwill.
- ☐ b. Private monopolistic arrangements arising from contractual agreements, such as franchises and leases.
- ☐ c. Government grants, such as patents, copyrights, licenses, trademarks, and trade names.
- ☒ d. Intangible assets not arise from anywhere and not to be considered as assets on the report.

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Question 67

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A successor would most likely make specific inquiries of the predecessor auditor about which one of the following?

- ☒ a. Disagreements with management as to auditing procedure.
- ☐ b. The uncertainty inherent in applying sampling procedures.
- ☐ c. Specialized accounting principles of the client's industry.
- ☐ d. The competency of the client's internal audit staff.

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Question 66

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The bond investment which is held for trading strategy is measured at:

- ☐ a. Amortized cost
- ☐ b. Accumulated cost
- ☐ c. Both Amortized cost and Equity method
- ☒ d. Fair Value

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Question 65

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Flag question

Nuna Company, a public limited company, has granted 100 share appreciation rights to each of its 10 employees on 1 July 2011. This is classified under:

- ☒ a. Cash-settled share based payment
- ☐ b. Equity-settled share based payment
- ☐ c. Asset-settled share based payment
- ☐ d. Share-based payment transactions with cash alternatives

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Question 64

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Flag question

Identify the requirements not used in the joint arrangement formation?

- ☐ a. Agreement about the capital contributions to it by the parties
- ☒ b. Contractual arrangement about its amount of tax paid
- ☐ c. Contractual agreement about the appointment of its B.O.Ds(or equivalent) & the voting rights of the parties
- ☐ d. Contractual arrangement about its activity, duration and reporting obligations

Clear my choice

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Question 63

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Flag question

Which one of the following long-term sources of fund for commercial banks?

- ☐ a. repurchase agreement
- ☐ b. demand deposits
- ☐ c. euro dollar borrowing
- ☒ d. bank capital

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Question 62

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Flag question

Which of the following accounts is unique to a merchandising business compared to a service based business?

- ☐ a. Rent Expense
- ☐ b. Salaries Expense
- ☐ c. Accounts Receivable
- ☒ d. Merchandising Inventory

Clear my choice

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Question 61

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Flag question

Mutual funds pool investor money to invest in:

- ☐ a. providing insurance coverage for individual assets
- ☐ b. offering short-term consumer loans
- ☒ c. diversified financial assets (stocks, bonds, etc.)
- ☐ d. real estate properties directly

Clear my choice

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Question 93

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Flag question

How profits or losses treated in joint operation?

- ☐ a. Each party has a share in the profit but not loss relating to the activities of the arrangement.
- ☐ b. Each party has a share in the profit or loss relating to the activities of the arrangement.
- ☒ c. Each party receives an allocation of revenues and expenses based on the relative performance of each party to the joint arrangement rather than profit or loss.
- ☐ d. The party has no right on the profits or losses of the joint arrangement.

Clear my choice

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Question 92

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Flag question

Which of one the following should be done to the book value of the old equipment in a decision to retain or replace equipment?
Treating as a (an):

- ☒ a. Sunk cost.
- ☐ b. incremental cost
- ☐ c. marginal cost
- ☐ d. Opportunity cost.

Clear my choice

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Question 91

Answer saved

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Flag question

Of the market based measure of allocating joint costs of production method, which one the following works backward in that the overall gross profit rate is computed first?

- ☒ a. Constant gross-margin percentage NRV method
- ☐ b. Physical measure method
- ☐ c. Sales value at split off
- ☐ d. Net realizable value method

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Question 90

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Flag question

Equipment purchased on January 01, 2021, for Birr 80,000 was depreciated using the straight-line method based upon a 5-year life and Birr 7,500 residual value. The equipment was sold on December 31, 2023, for Birr 40,000. What is the gain on the sale of the equipment?

- ☐ a. Birr 14,500
- ☒ b. Birr 3,500
- ☐ c. Birr 43,500
- ☐ d. Birr 36,500

Clear my choice

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Question 89

Answer saved

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Flag question

Which of the following is true about the focus of governmental financial reporting except:

- ☐ a. Compliance with legal spending limits.
- ☐ b. A government's stewardship of public resources.
- ☐ c. Ongoing ability to raise taxes and manage resources.
- ☒ d. Information about net income.

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Question 88

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Flag question

Which of the following costs should be debited to an expense account and not included in the total cost of a fixed asset?

- ☐ a. Transportation charges
- ☐ b. Installation cost
- ☒ c. Sales tax
- ☐ d. Carelessness of error in installation

Clear my choice

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Question 87

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Flag question

In using the percentage of sales forecasting method the assumption is that:

- ☐ a. contributed capital will increase proportionately with sales
- ☐ b. there is a direct relationship between notes payable and sales
- ☐ c. there is a direct relationship between long-term debt and sales
- ☒ d. inventories will increase proportionately with sales

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Question 86

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Flag question

Assume that Gesha Company created a new branch outlet in Sodo, at the beginning of 2014 and the transactions of the branch during 2014 were: Cash of Br. 60,000 was forwarded to Branch, merchandise shipped at cost to branch amounted to Br. 330,000, operating expenses paid by the home office charged to branch amounted to Br. 40,000 and merchandise returned to home office amounted to Br. 10,000, the calculated investment in Branch account amounted to:

- ☐ a. Br. 430,000
- ☐ b. Br. 330,000
- ☐ c. Br. 390,000
- ☒ d. Br. 420,000

Clear my choice

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[Back](#)**Question 85**

Answer saved

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Flag question

All of the following are a common source of financing for major acquisitions of general capital assets to be accounted for in capital project funds except:

- ☐ a. Issuance of long-term debt to be repaid from tax revenues.
- ☒ b. Gifts from individuals or organizations.
- ☐ c. Transfers from other funds.
- ☐ d. Proprietary and fiduciary funds.

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Question 84

Answer saved

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Flag question

Which of the following is categorized as deductible temporary difference?

- ☐ a. Investments accounted for under the equity method for financial reporting purposes and under the cost method for tax purposes.
- ☒ b. Sales accounted for on the accrual basis for financial reporting purposes and on the installment (cash) basis for tax purposes.
- ☐ c. Bad debt expense recognized using the allowance method for financial reporting purposes, direct write-off method used for tax purposes.
- ☐ d. Prepaid expenses that are deducted on the tax return in the period paid.

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Question 83

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Flag question

Which one of the following is not party involved on the check?

- ☐ a. Payee
- ☐ b. Maker
- ☐ c. Payer
- ☒ d. Broker

Clear my choice

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Question 82

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Flag question

Which of the following statement describes the percentage-of-completion method in the long-term contract revenue?

- ☐ a. Recognizes revenue only to the extent of costs incurred that are expected to be recoverable.
- ☐ b. It accumulates construction costs in an inventory account.
- ☒ c. Recognizes revenues, costs, and gross profit as a company makes progress toward completion.
- ☐ d. It accumulates progress billings in an inventory account.

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Question 81

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On January 1, 2012, Eba Company acquires Br. 200,000 of Worku, Inc., 8% bonds at a price of Br. 190,052.59. The interest is payable each December 31, and the bonds mature December 31, 2014. The investment will provide Morgan Company a 10% yield. The bonds are classified as held-for-collection. What is the amount of Bond Discount Amortization recorded on December 1, 2012 if it uses interest effective method?

- ☐ a. Br. 20,000
- ☐ b. Br. 16,000
- ☐ c. Br. 19,005.26
- ☒ d. Br. 3,005.26

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Question 80
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Flag question

What are the three types of business entities?

- ☒ a. Proprietorships, partnerships, and corporations.
 - ☐ b. Financial, manufacturing, and service companies
 - ☐ c. Proprietorships, partnerships, and large businesses.
 - ☐ d. Proprietorships, small businesses, and partnerships.
- Clear my choice

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Question 79

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Flag question

An extraordinary item differs from a special item in that an extraordinary item is:

- ☒ a. Reported on a separate line below General Revenues.
- ☐ b. Unusual in nature and infrequent in occurrence.
- ☐ c. Usual in nature and frequent in occurrence.
- ☐ d. Within management's control.

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Question 78

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Flag question

Which accounting standard specifies the criteria for recognizing and measuring impairment losses on assets?

- ☒ a. IAS 36
- ☐ b. IFRS 9
- ☐ c. IAS 38
- ☐ d. IAS 16

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Question 77

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Flag question

Which one of the governmental funds is used to account for legally restricted resources provided by trust in which the earnings but not the principal may be used for purposes that support the primary government's programs?

- ☐ a. Debt service fund
- ☒ b. Permanent Fund
- ☐ c. Capital project fund
- ☐ d. General fund

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Question 76

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Flag question

An entity issues a group of insurance contracts to policyholders beginning on 20 December 2012. The coverage period of the group begins on 1 January 2013 and the first premium from a policyholder in the group is due on 30 December 2012. The group of insurance contracts is not onerous. On which date should the entity recognize the insurance contract?

- ☒ a. On December 30, 2012
- ☐ b. On January 01, 2013
- ☐ c. On December 25, 2012
- ☐ d. On December 31, 2012

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Question 75

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Flag question

A form of taxation that is basically imposed on the services given to individuals through affixing seals on document is known as

- ☐ a. Customs Duties Tax
- ☒ b. Stamp Duties Tax
- ☐ c. Withholding Tax
- ☐ d. Foreign Trade Taxes

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Question 100

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Flag question

Which of the following dividend policies involves paying a fixed amount of dividends per share, irrespective of the company's earnings?

- ☒ a. Stable dividend policy
- ☐ b. Residual dividend policy
- ☐ c. Compromise Dividend Policy
- ☐ d. No dividend policy

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Accounting and Finance

[Back](#)**Question 99**

Answer saved

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[Flag question](#)

A firm has a degree of financial leverage of 5.5. What does this tell us about the firm?

- ☐ a. If EBIT rises by 5.5%, then EPS will rise by 1%
- ☐ b. If sales rise by 5.5%, then EBIT will rise by 1%
- ☐ c. If sales rise by 1%, then EPS will rise by 5.5%
- ☒ d. If EBIT rises by 1%, then EPS will rise by 5.5%

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Accounting and Finance

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Flag question

What is the primary purpose of accounting software in a computerized accounting system?

- ☐ a. To manually record transactions
- ☐ b. To eliminate the need for internal controls
- ☐ c. To calculate financial ratios
- ☒ d. To store and process financial data efficiently

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Question 97

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Flag question

What is the defensive tactics that a target company in a hostile takeover to resists the proposed business combination through amendment of the articles of incorporation or bylaws to make it more difficult to obtain stockholder approval for a takeover?

- ☒ a. Scorched earth
- ☐ b. Greenmail
- ☐ c. White knight
- ☐ d. Poison pill

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Question 96

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Flag question

A company's predetermined overhead rate is 150% of its direct labor costs. How much overhead is applied to a job that used total direct labor costs of Birr 50,000?

- ☐ a. Birr 65,000
- ☒ b. Birr 75,000
- ☐ c. Birr 25,000
- ☐ d. Birr 50,000

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Question 95

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Flag question

Which inventory classification represents goods on hand purchased for resale by a retailer?

- ☒ a. Merchandise inventory
- ☐ b. Work-in-process inventory
- ☐ c. Finished goods inventory
- ☐ d. Raw materials inventory

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[Back](#)**Question 94**

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Flag question

Which of the following is identified as the business Functions used for sales class of transaction in the Sales and collection cycle?

- ☐ a. Providing for bad debts
- ☐ b. Processing and recording cash receipt
- ☒ c. Granting credit
- ☐ d. Processing and recording sales return and allowance

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